

# Middle East Weekly Review

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July 26, 2026 (covering Monday July 20, 00:00 to Sunday July 26, morning, KST)

- **Week in brief:** The week the war stopped being a duel. It opened with a US Iran dyad grinding through its ninth consecutive strike night and closed with Saudi Arabia and the Houthis bombing each other's oil infrastructure while Washington and Tehran, for the first time in a fortnight, did not fire at all. Brent ran from \$88.59 to a \$100.69 close and back to \$97.39, the two chokepoint premium hardened into the standing regime, and Korea's decoupling finally split down the middle: the won strengthened all week while the KOSPI took a 5.72% Friday break.
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## 1. The Week's Arc

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What structurally changed this week is the *number of wars*. On Monday there was one: the United States and Iran, with Gulf states absorbing spillover as targets and hosts. By Saturday there were two, running on different clocks and different logics, and the newer one was the one still shooting.

The first three days belonged to the old war and to a market catching up with it. Monday's Seoul session priced an accumulated weekend of Darkhovin, a third Kuwaiti infrastructure day and the IRGC firing on outbound vessels, and the KOSPI fell 4.46% to 6,516.27 while the won barely moved and Brent settled at \$88.59, between both thresholds of the test written for it. Tuesday the Kaifan, a Kuwait flagged products tanker, was struck 8 nautical miles off Limah on the route Iran brands unauthorised, with a UKMTO bulletin, a vessel name and a Kuwaiti protest note attached: the Hormuz licensing regime stopped being a claim and became a documented fact enforced by force. Wednesday brought the week's one genuinely constructive event, an Israeli withdrawal from Zawtar al-Gharbiyeh with the Lebanese army deploying in behind it, the first town transferred from Israeli to Lebanese military control under the Rome framework.

Thursday was the hinge. Brent closed above \$100 for the first time since May, the Houthis struck the Saudi flagged product tanker Encelia in the southern Red Sea after it loaded at Yanbu, Washington signed a thirty year civil nuclear agreement with Riyadh and then made it "totally subject to Saudi Arabia joining the Abraham Accords," and Hegseth told Congress the war had cost \$37.5bn and asked for up to \$70bn more. Seoul, absurdly and instructively, rallied 4.40% to 7,096.89 on a domestic GDP beat while the oil price crossed three figures.

Friday and Saturday built the second war. Iran rejected the ceasefire proposal that Iraqi Prime Minister Ali al-Zeidi carried to Tehran, refusing any temporary deal that leaves the Strait of Hormuz unaddressed. The Saudi operated NCC Masa was attacked in the Red Sea; the Saudi led coalition answered with its first kinetic action of this round, striking Houthi military sites in Hodeidah and on Kamaran Island. The Houthis promised "escalation for escalation" and delivered before dawn Saturday, firing ballistic missiles and drones at Aramco facilities at Jizan and Yanbu, setting the Jizan refinery alight in the group's first direct attack on Saudi oil infrastructure since 2022. The coalition struck Yemen again the same day. And through all of it, US Central Command announced nothing: the thirteen night run against Iran simply stopped, with no statement, no explanation, and no Iranian retaliation either.

Three shifts to carry forward. **First, a Gulf state became a belligerent.** For five months the Gulf monarchies priced neutrality as cheaper than belligerence even while being struck; Riyadh has now decided otherwise, and it did so on the Yemen front rather than against Iran, which is a meaningfully smaller step than it looks but an irreversible one. **Second, the Red Sea completed its journey from threat to theatre.** The Houthi embargo on Saudi shipping was

declared on July 20, first enforced by deterrence alone on the 21st, executed against the Encelia on the 23rd, and by the 25th had escalated to strikes on Saudi soil answered by Saudi airpower. Korea's workaround crude corridor runs from Yanbu out through Bab el-Mandeb, and both ends of it now sit inside that theatre. **Third, the American campaign ended without ever pulling its own trigger.** Thirteen nights of bridges, ports, logistics, command nodes, air defences and maritime targets, and the power plants were never struck, which means the standing Iranian order to close Bab el-Mandeb on a US grid strike was never activated. The Red Sea escalated anyway, through an entirely different door.

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## 2. Indicator Scoreboard

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**Opened this week: 21.** Three per day, July 20 through July 26.

**Resolved this week: 16** — 10 Confirmed, 5 Falsified, 1 Expired.

| Resolved | ID             | Outcome   | What it settled                                                               |
|----------|----------------|-----------|-------------------------------------------------------------------------------|
| 07-20    | IND-20260719-3 | Confirmed | Water systems are a standing target class, not a boundary test                |
| 07-21    | IND-20260718-3 | Falsified | Monday's KOSPI breached -4%; the won leg held                                 |
| 07-21    | IND-20260719-2 | Expired   | Brent settled between both thresholds; the market traded off-ramp probability |
| 07-22    | IND-20260716-3 | Confirmed | Lebanon pilot zone implemented: Zawtar al-Gharbiyeh transferred               |
| 07-22    | IND-20260719-1 | Falsified | The first US combat deaths produced no target-class break                     |
| 07-22    | IND-20260720-2 | Confirmed | The Hormuz licensing regime is enforced by force (the Kaifan)                 |
| 07-23    | IND-20260717-1 | Falsified | "They want to meet" was narrative management, not a scheduled contact         |
| 07-24    | IND-20260721-2 | Confirmed | The Houthi embargo on Saudi shipping is operational (the Encelia)             |
| 07-24    | IND-20260721-3 | Confirmed | Seoul's transmission channel is confined to the oil price                     |
| 07-24    | IND-20260722-3 | Confirmed | The two chokepoint premium is the standing regime, not an event spike         |
| 07-25    | IND-20260715-4 | Falsified | The financial crisis channel: two weekly closes below ₩1,490, no intervention |
| 07-25    | IND-20260720-3 | Confirmed | The war's edges did not hold: a second chokepoint front opened                |
| 07-25    | IND-20260722-2 | Confirmed | A Gulf state crossed from absorbing the war to prosecuting it                 |
| 07-26    | IND-20260718-1 | Falsified | The grid trigger stayed unpulled for the campaign's entire run                |
| 07-26    | IND-20260724-2 | Confirmed | Red Sea interdiction is a campaign, not a demonstration shot (the NCC Masa)   |
| 07-26    | IND-20260725-1 | Confirmed | The Saudi Houthi exchange is a war, not a round                               |

**Still open: 20**, the oldest being IND-20260714-4 (Qatari LNG loadings, 12 days outstanding) and IND-20260715-1, -2 and -3 (11 days each). The Hormuz regime test IND-20260715-1 reaches its ~07-28 deadline in two days with its sub-20 condition satisfied on every available print.

**Calibration notes.** Three lessons the week actually taught, as opposed to confirmed.

The first is that this ledger's *falsifications were more informative than its confirmations*. IND-20260715-4 and IND-20260721-3 together established something genuinely counterintuitive and load-bearing: Korea's financial transmission from this war runs through the oil price and essentially nowhere else. The won strengthened through a

verified tanker strike, a \$100 oil print and a 5.72% equity break, with no intervention. That is a stronger result than any of the week's ten confirmations.

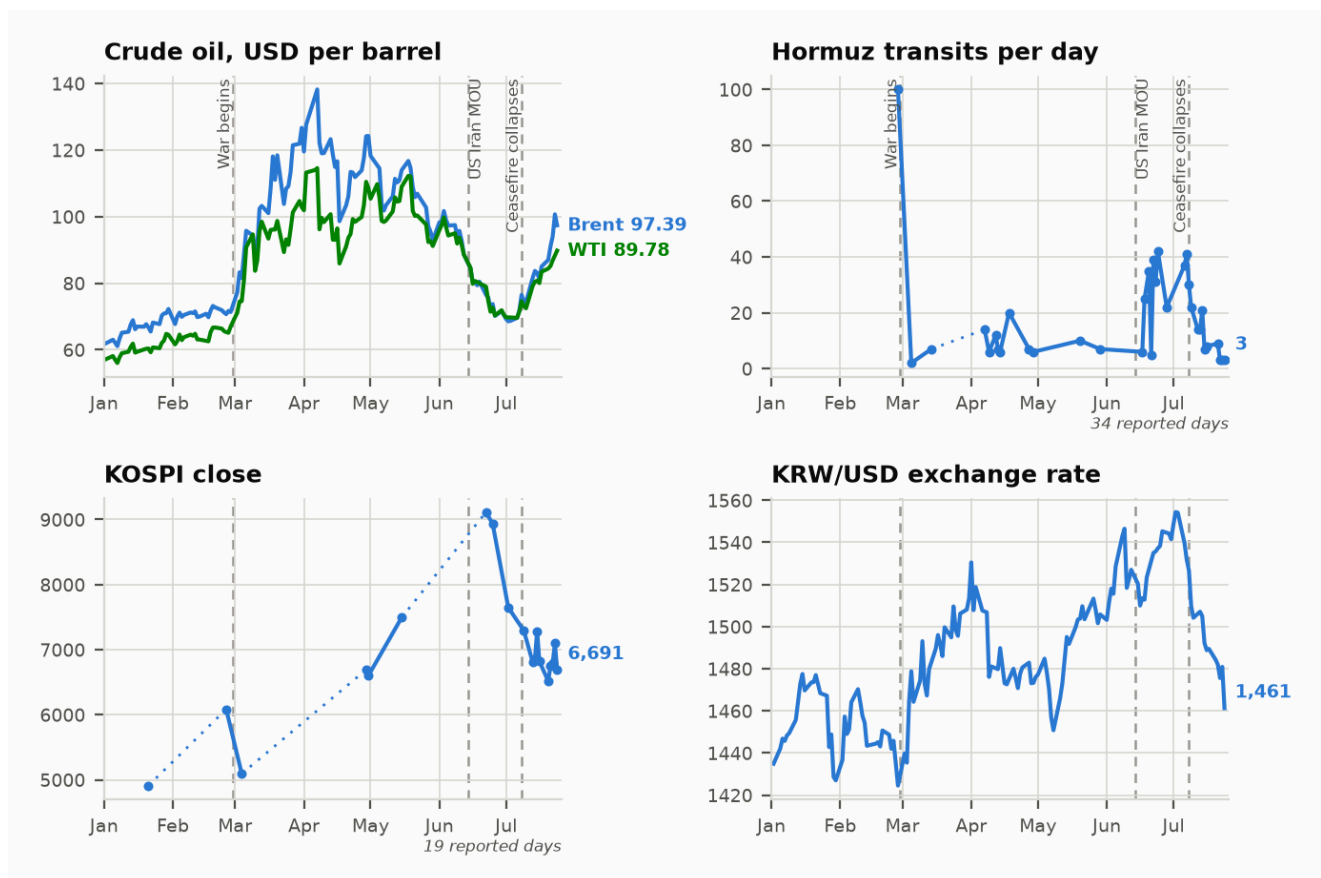
The second is a scoring failure worth keeping in view. IND-20260720-3 was logged Open on July 24 on the reasoning that the Red Sea had stayed attack free, when the Encelia strike a day earlier had already met its third branch; it was tracked only under IND-20260721-2 and the cross reference was missed. The correction was published on July 25. The structural fix is to score every open indicator against every branch of its own text rather than against the day's narrative framing, which is where the miss originated. IND-20260724-2's resolution today carries a similar one-day lag, disclosed rather than smoothed over.

The third is that *deadlines drove several resolutions more than events did*. IND-20260718-1 falsified because its date arrived, not because anything happened; IND-20260719-2 expired between thresholds. Indicators written with tight windows against a war that moves in irregular jumps will keep resolving on the calendar. That is not a defect if the thresholds were honest, but it argues for wider windows on structural questions and tight ones only where a specific scheduled event forces the issue.

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### 3. Data Trends

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**Oil.** Brent ran \$88.59 → \$91.05 → \$94.07 → \$100.69 → \$97.39 across Monday to Friday, a 9.9% weekly advance and the third consecutive weekly gain. The path matters more than the endpoints: the market climbed on chokepoint events (the Kaifan, the embargo, the Encelia) and retreated only on mediation headlines, never on supply data. Thursday's \$100.69 was the first three figure close since May. Friday's 3.3% pullback came on Pakistani mediation reports, and then Saturday's attacks on Aramco landed after the close, unpriced. There is no July 25 settle in the series and none has been invented; several outlets reported weekend prints above \$100 that correspond to no cleared session, and they are recorded in the brief as reported rather than as data.

**Korea's split.** The week's most important number is a non event: the won closed at ₩1,461.3 on Friday, 17 won stronger than Monday, having spent the entire week below the ₩1,490 line with no intervention verbal or actual, through a 10% oil move. The KOSPI meanwhile closed the week at 6,690.62, up 2.7% from Monday but only after a round trip through 7,096.89 on Thursday and a 5.72% Friday break with ₩3.3tn of foreign net selling. The decoupling did not fail this week; it split. The currency leg held under maximum pressure and the equity leg broke on a global AI capex repricing that arrived at the same moment as the oil spike. Disentangling those two is exactly what IND-20260725-2 tests over the coming five sessions.

**Hormuz.** Transits sat at three vessels a day from July 22 through July 24, with a single tanker crossing on the 23rd, the fewest since May 7, and traffic shifted almost entirely into the Iranian designated corridor. Weekly tanker and gas carrier movements fell to roughly 30 from 90 in the week through July 20. No fresh count was published for July 25. The strait is functionally closed with a licensed trickle, and the open question is now whether the floor is three or zero.

**What the chart does not show.** The Aramco strikes, the strike pause, and any Monday repricing of either all fall outside the plotted range. The chart's right hand edge is Friday, and this week's two most consequential events happened after it.

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## 4. Slow Threads

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- **Qatari LNG, frozen for two weeks.** No laden carrier has exited the Gulf through Hormuz since July 11; the freeze stands at day 15 with roughly 21 carriers inside the Gulf. This has moved barely at all day to day and is the single largest unaddressed exposure in Korea's energy position, because QatarEnergy's March force majeure means even a political reopening restores less than full pre-war loadings. Two indicators track it (IND-20260714-4, IND-20260717-2) and both have been running toward falsification for a week.
  - **The Gulf investment packages that never materialised.** IND-20260715-2 has been open eleven days waiting for a single named, dollar denominated Gulf security package to replace the withdrawn Hormuz toll. Nothing has appeared. The transactional protection model has produced rhetoric and one bilateral nuclear agreement conditioned on an unrelated normalisation demand.
  - **Lebanon, quietly working.** The one place where a framework is producing physical results. Zawtar al-Gharbiyeh transferred on July 22; coordination with the trilateral Military Coordination Group is reported for further deployments, but no second withdrawal has been verified (IND-20260723-2, ~08-06).
  - **The \$70bn question.** Hegseth's request sits in front of a Congress that has been asking how the campaign ends. A week that closed with the bombing stopped is a different backdrop for that markup than the one it was submitted into (IND-20260723-1, ~08-22).
  - **Saudi normalisation, unanswered.** Riyadh has said nothing publicly about Trump's Abraham Accords condition since it was attached on July 23, and spent this week being attacked and striking back (IND-20260724-1, ~08-24).
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## 5. Revisions and Lessons

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**What changed about standing assumptions.**

*The workaround is no longer a workaround.* korea-exposure.md records the Red Sea detour as "the most realistic option for the time being," with fifteen Korean tankers having loaded crude at Yanbu, and flags the Bab el-

Mandeb exposure. That framing is now too mild in one direction and too narrow in the other. The corridor's exit was attacked on July 23 (the Encelia) and again on July 24 (the NCC Masa); its loading port was attacked on July 25. The entry in that file should be revised to state that both terminals of the route sit inside an active two way theatre, and the standing note that Bab el-Mandeb exposure is contingent on a Tehran coordinated Houthi closure should be dropped, because the Red Sea escalated through the Saudi embargo track while the Tehran trigger remained unpulled. That revision is recommended but not yet applied, pending the Yanbu export capacity question (IND-20260726-2) which determines whether this is a repricing or a rerouting.

*The H2 oil base case moved twice in five days, from the high \$80s to \$90+ on Wednesday and to \$100 on Thursday. The second move rests on a two settle test that then broke its own second leg on Friday. The disciplined position is that \$95 to \$100 is the working band, that the \$100 base case is not yet earned, and that no official Korean guidance has anchored any of it (IND-20260723-3, open to ~08-31).*

*The financial crisis channel is closed, and should stay closed until reopened by evidence. Two consecutive sub ₩1,490 weekly closes with no intervention, through the worst week of the war, is a strong result. Future briefs should stop treating won weakness as a live risk and start treating won *strength* through escalation as the thing requiring explanation.*

**The lesson from the week's structure.** Every escalation this week arrived through a door nobody was watching. The Bab el-Mandeb closure was expected to come from Tehran on a US grid strike; it came from the Houthis on a Saudi airport strike. Saudi Arabia was expected to cross into belligerence against Iran, if at all; it crossed against the Houthis. The grid trigger everyone tracked for a week was never pulled, and the campaign it belonged to ended anyway. The indicators that performed best this week were the ones written on *observable classes of event* rather than on specific causal chains, and the ones that misfired were written on named triggers pulling named consequences. That is the design lesson to carry into next week's set.